

Exhibit 156: Examples of CCP stocks' earnings offsetting P/E de-rating during periods of stress in broader stock market (using trailing 12-month EPS and P/E multiples)

	Asian Paints (FY03)	ITC (FY12)	Asian Paints (FY16)	Amara Raja (FY16)
EPS at the start of the period	1.1	4.1	14.8	24.1
EPS at the end of the period	1.4	5.2	18.5	28.7
Share price at start	21.9	121.4	811.3	833.1
Share price at end	22.0	151.3	868.4	877.6
P/E at start	19.9	29.6	54.9	34.6
P/E at end	15.7	29.1	46.8	30.6
EPS growth	27%	27%	25%	19%
P/E rerating*	-21%	-2%	-15%	-12%
Share price growth	1%	25%	7%	5%
Sensex EPS growth	13%	6%	-10%	-10%
Sensex P/E re-rating	-22%	-16%	1%	1%
Sensex price growth	-12%	-10%	-9%	-9%

Source: Ambit Capital research, Bloomberg, Ace Equity

*A negative sign in front of the number indicates P/E de-rating, i.e. a drop in P/E.

- **P/E does not derate because the market incrementally factors in longevity of earnings:** As CCP stocks tend to deliver consistent revenue and earnings growth during periods of weakness in fundamentals for the broader market, it is likely that P/E multiples of CCP companies start factoring in a greater degree of sustainability of earnings growth over